3. Safety lockers

Valuable documents, jewels, etc. can be kept safely in a vault provided by bank for a rent. These vaults room is called 'Strong Room".

4. Letters of credit

This document is given by bank on behalf of importing customer to the exporter guaranteeing payment for the imported goods. It is a very important document in international trade.

5. Travellers cheques

Customers need not carry cash during travel in India or abroad. The denomination and words are printed in the cheque. It is accepted as money in shops, hotels, travel agencies, etc.

6. Gift cheques

These denomination printed cheques are available in attractive design so that it can be presented during wedding, birthday functions, etc.

7. Reference service

Business firms can give their bank's name as reference to the new business institution with which they want to establish commercial relationship. Banks willingly act as referees and provide information about the financial standing of their customers.

12.03 Diversified Banking Functions

Competition in the banking industry has reduced their profits. Therefore the commercial banks started identifying and offering new and diversified financial services. They are purely other than banking services. Providing all such banking and other financial services is also called universal banking. Such services are as follows:

1. Bank Assurance

It refers to the offering of insurance policies or products by a bank in association with another insurance company. Banks should follow Insurance Regulatory and Development Authority of India (IRDA) regulations in addition to RBI regulations. Corporation Bank, Oriental Bank of Commerce and Vijaya Bank has tied up with Life Insurance Corporation of India. SBI has joined hands with BNP Paribas Cardif - a French company to sell insurance products.

2. Merchant Banking

Merchant banks do not provide regular banking services. A commercial bank or its subsidiary merchant bank may offer services like project counselling, underwriting, etc. required for starting a company. It is called merchant banking. They are mostly stock market related services. Merchant Banks are controlled by Stock Exchange Board of India (SEBI) regulations also.

3. Retail Banking (Personal Banking)

It refers to mass market banking which reaches out to large number of individual end customers. Apart from accepting deposits, their services include personal loans, vehicle loans, consumer durable loans, loans against equity shares, debit and credit cards, mortgages, etc.

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